

Month-End Is Not Information

Today is August's last session, and much of what moves will be the calendar rather than the news.

THE READING

Friday did the work. Kevin Warsh used his first Jackson Hole address to say that price stability is the predominant focus and that forward guidance has overstayed its welcome. September hike odds went from about 35 per cent to above 57. The two-year yield rose to roughly 4.30 per cent; the thirty-year barely moved, near 5.21. Gold fell about three per cent intraday, the dollar had its best day in two and a half months, and the yen slid past 160. Equities finished the week lower. The VIX closed at 14.43, a third of a point above the floor of the 14.07–16.37 band Hedgeye published on Thursday — a band now four sessions old. The mood is settlement: the event was held, and priced.

WHAT WISDOM WOULD SAY

David Hume, in the Enquiry Concerning Human Understanding, argued that the expectation that the future will resemble the past is not a conclusion of reason. No quantity of past regularity entails the next case. What produces the expectation is habit, which he called “the great guide of human life”. His point was not that habit is wrong. It is that habit works silently, and is easily mistaken for judgement.

Warsh spent Friday withdrawing a guide. Removing an explicit map does not leave a blank space; it leaves the implicit maps, and today supplies two. The first is the calendar. A month ends, books are marked, positions are trued up, and the resulting flow arrives looking exactly like an opinion about August. The second is Thursday's risk ranges, still on the desk and still consulted four sessions after the world they measured. Neither will announce itself as custom. Both will be read as information.

THE RISK IT JUSTIFIES

Discount today's tape rather than trade it. The usable discipline is to write down, before the close, which moves you are attributing to

month-end flow, then check on Tuesday which of them survived. What reverses was flow. What holds was information. The test costs one session, and it is the only way to earn the distinction rather than assert it.

Size does not change today. The three conditions set on Friday remain the ones worth acting on, and none has printed: a VIX close above 16.37, an HYG close under 79.53, September odds back under 40 per cent. Tonight's Early Look lands around 19:25–21:00 Hong Kong time, after the US open, so any level used before then is Thursday's. What would change the answer is a move on new data rather than on the calendar, and this week brings the data.

Which of today's moves would you expect to still be there on Tuesday?